

While institutional investors dominate the algorithmic trading landscape, retail traders have increasingly gained access to these tools. Platforms like Quantopian (now closed) and QuantConnect have emerged to help individual traders develop and deploy algorithmic strategies—many of them built with Python.

Why Python Rules the Algorithmic Trading World

When legendary hedge fund manager Paul Tudor Jones was asked about the changing landscape of trading in a 2018 interview, he remarked, "No man is better than a machine, and no machine is better than a man with a machine." Increasingly, that machine runs on Python.

But why has Python, created in 1991 by Guido van Rossum, become the dominant programming language in trading when other languages like C++ and Java offer faster execution speeds?

Python's Readability and Simplicity

Python was designed with human readability as a priority. Its clean syntax uses indentation to denote code blocks rather than brackets or keywords, creating a visual structure that makes code easier to understand.

Compare these two snippets that perform the same function—calculating a simple average of stock prices—in C++ and Python:

```
1. // C++ implementation - calculating average price
2. double calculateAverage(vector<double> prices) {
3.     double sum = 0;
4.     for (int i = 0; i < prices.size(); i++) {
5.         sum += prices[i];
6.     }
7.     return sum / prices.size();
8. }
```